trilogy

SOLUTION BRIEF · GLOBAL CAPABILITY CENTRES · SOUTH AFRICA

# Global Capability Centre (GCC) Design, Build, Operate, Transfer

Mitigating the risks of building a captive centre offshore, for any type of operation — how Trilogy delivers DBOT, with a transparent costing model and a fixed management fee.



# 01 Why South Africa — and the three routes offshore

The current trend of offshoring operations to South Africa is stimulated by a few major factors:

- **Cost reduction**
- **English competency**
- **Accent acceptability**
- **Cultural compatibility**
- **Data protection compliance**
- **Quality of service**

Companies can establish an offshore capability centre in South Africa — for any type of operation — in one of three ways, depending on the **corporate strategy**:

1

**Outsourcing**

to a competent and credible outsourcing partner in South Africa, under an outsourcing contract.

2

**Captive, own resources**

Establishing a captive centre in South Africa with your own resources.

3

**Captive with a local partner — DBOT**

Establishing a captive centre with a local partner as a phased approach to Design, Build, Operate and Transfer.

THE FOCUS OF THIS BRIEF

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# 02 The business case

Establishing a captive centre offshore has obvious benefits. In most cases, the financial benefits are well researched and established prior to roll-out. However, there are inherent business and financial risks associated with this approach. This brief sets out how the DBOT model mitigates them. The risks fall into five areas:

1. **Localisation risks**
2. **Financial risks**
3. **Business risks**
4. **Initial implementation risks**
5. **Ongoing operational performance risks**

## 1 Localisation risks

There are large risks associated with establishing an operation in South Africa for a foreign company. Some of the challenges are:

### Environment & law

- Understanding the South African business environment, culture, protocol and laws
- Understanding potential contractual and legal pitfalls

**UNDERSTANDING THE LABOUR LAWS**

- Basic Conditions of Employment
- Equity Bill
- Labour Relations Act

### Finding the optimal location

- Access to labour pools
- Transportation
- Cost-effective facility rentals

### People & performance

- Staff motivation and performance management in a foreign culture
- Hiring and contracting strategy
- Training strategy
- Quality assessment and management in accordance with the local culture and laws
- Performance management and retrenchments in accordance with the local laws
- Finding the right skills and experience for optimal operations and HR management

## 2 Financial risks

There are financial risks associated with these challenges that could destroy the initial cost value proposition in its entirety.

### EBIT vs EBITDA

It is a sign of the economic times that shareholders demand a demonstrable and shortened return on investment. CAPEX utilisation is a sensitive boardroom subject, and should be avoided if possible. **This model provides an option to mitigate the CAPEX requirement.**

**Cost of capital to set up operations for**

Infrastructure | IT | Telephony & networking | Connectivity | Facilities rentals

- Long-term contractual obligations for property and equipment rentals
- Multi-vendor SLA, contract and relationship management

## 3 Business risks

There are numerous Harvard Business studies that support the argument for focusing on your core business. Establishing a captive by relying solely on internal resources could shift focus and impact other areas of your business. By relying on a company whose core business it is to build and manage capability centres in an offshore location, you could mitigate the business impact of:

**Defocusing current management resources**

**Establishing an administration function — internally and in South Africa — for**

- HR support & payroll administration
- Finance
- Facilities management
- Operations IT support
- Legal
- Performance management

## 4 Implementation risks

The success of the initial implementation and speed to implementation could have either a positive or negative impact on the ROI and investment expectations. The learning curve and risks of an offshore implementation are onerous, and scope creep could impact negatively on costs in terms of:

- Resource allocation
- Travel and accommodation
- Initial training costs
- Initial recruitment costs
- Missing a "go live" date and its impact on variable costs

## 5 Ongoing operational risks

In establishing a captive, the company is reliant on internal resources to implement the operations in the offshore location, and to transfer the success practices of the onshore operation to management recruited locally.

**Experience has taught us** that the ongoing costs associated with performance management are much higher than initially budgeted for. Internal "fix it" teams have to travel to the offshore location more often than anticipated, to provide training and to fix performance issues.

# 03 How do we mitigate these risks?

In developing a risk-averse strategy, while still capitalising on the value proposition offered by the offshore location, a company should address the following questions:

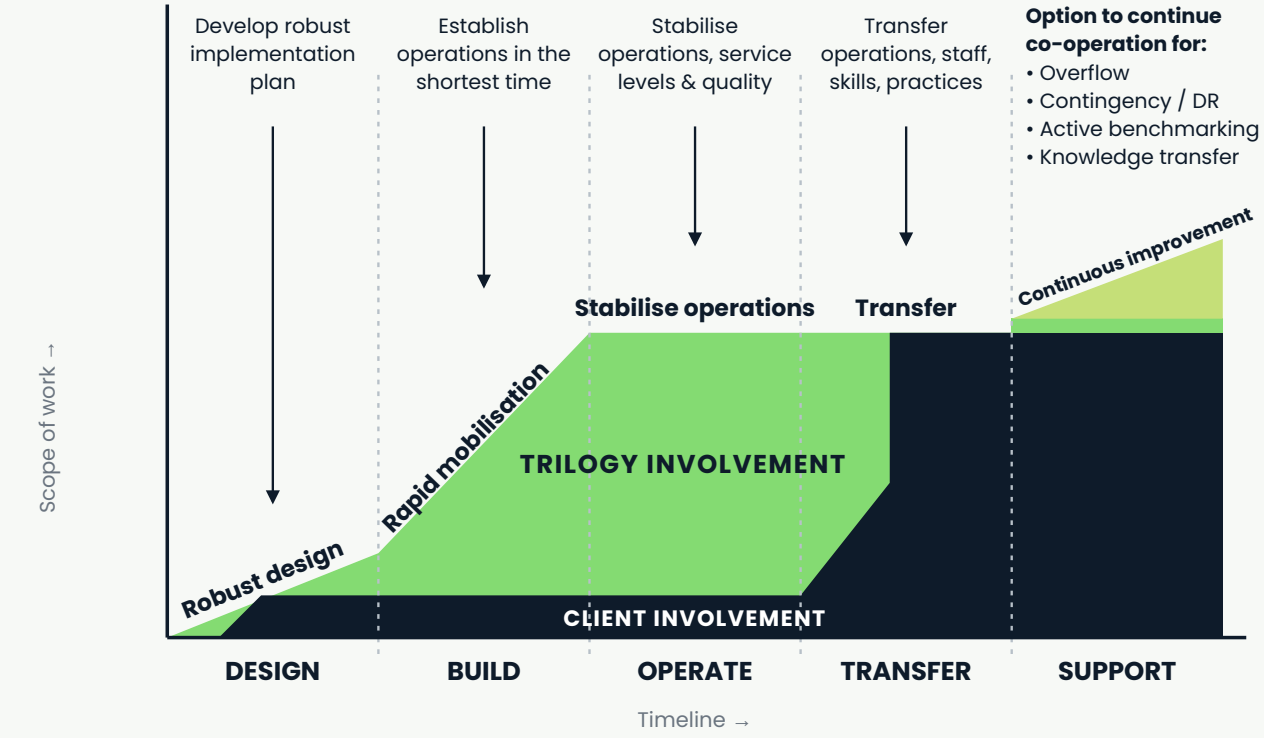
1. How could we mitigate most of the above risks associated with such a project?
2. How do we implement within a timescale that offers us speed to cost savings and ROI?
3. How do we limit scope creep and associated costs?
4. How do we access local best practices for hiring / recruitment, training, MIS and management?
5. How do we integrate internal success practices with the local success practices?
6. How do we access all these benefits without outsourcing?

# 04 The solution

**Outsourcing** + **Captive on internal resources** = **DBOT hybrid**

The solution lies in a hybrid approach between outsourcing and establishing a captive operation which relies on internal resources. **DBOT — Design, Build, Operate and Transfer** — provides a phased approach to implement a turnkey operation, with a highly qualified team of internal and local experts, in order to mitigate risks.

**THE TRILOGY DBOT ROADMAP**




**DBOT AT A GLANCE**

| Design | Build | Operate | Transfer | Support (optional) |
|---|---|---|---|---|
| Due diligence, gap analysis, solution design, implementation, change and project plans | Total solution implemented at the location of choice, governed by a project team | Full operational strategy run for a defined period to stabilise operations | Operations, technology, facilities, people, knowledge and IP transferred to you | Continuous improvement, benchmarking, BC/DR and capacity overflow |

## 05 Implementation, a phased approach

The success of such a project resides in the proper planning and implementation of a holistic project. This should include all aspects related to:

- **Strategic and operational objectives**
- **People, culture and brand**
- **Management practices**
- **Process optimisation**
- **Platform and facilities**

…underlined by a **performance baseline**, **reporting** and a robust **performance improvement strategy**.

# D PHASE ONE Design phase

During this phase, the partners complete:

1. **A comprehensive due diligence**
2. **Local practices gap analysis**
3. **Optimal solution design**
4. **Implementation strategy**
5. **Change management strategy**
6. **Project management plan**

### THIS COVERS THE FOLLOWING FUNCTIONAL AND BUSINESS AREAS

| | | | |
|---|---|---|---|
| Corporate strategy | Corporate culture | Brand strategy | Governance |
| Customer acquisition & retention strategy | Customer service strategy | Process mapping, design & optimisation | Technology & connectivity |
| Data connectivity | Systems & process integration | Facilities | HR, recruitment & training |
| Management processes, practices & system | Management information & business intelligence | Disaster recovery | Global & local best-practice integration |

## DESIGN PHASE METHODOLOGY

The following diagram illustrates the proven methodology and process used to conduct the due diligence phase.

### TRILOGY 360° BEST-PRACTICES IMPLEMENTATION METHODOLOGY




**Diagnostic / Benchmarking / Gap analysis / Solution design**

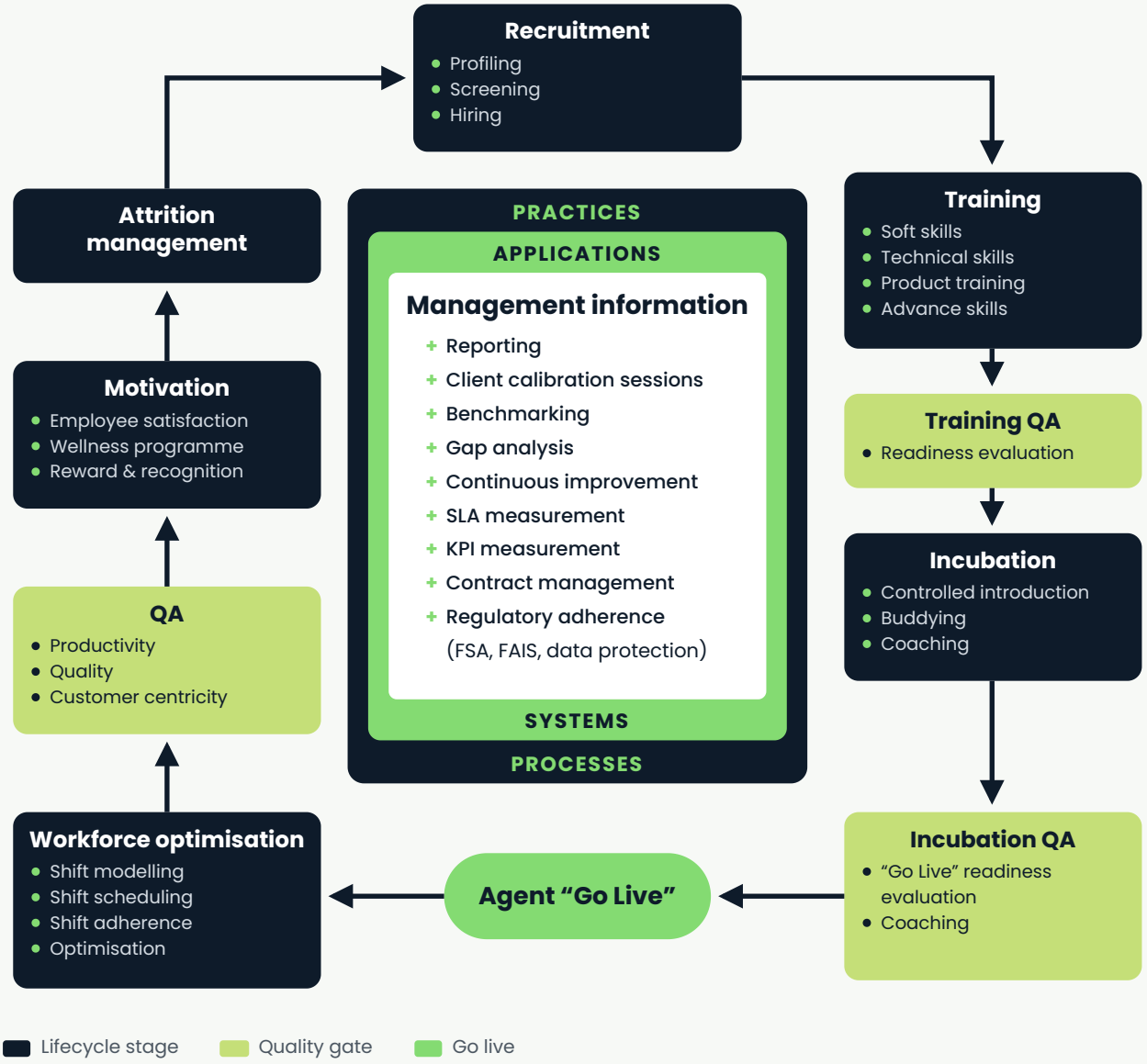
*Quantitative · Qualitative · Cost*

PHASE TWO

# B Build phase

During the build phase, the total solution gets implemented by the partner of choice, at the location of choice, and incorporates all of the functional "building blocks" above within the integrated centre. This is based on a best-practices methodology, and managed and governed by a project team.

**AGENT LIFECYCLE AND MANAGEMENT INFORMATION FRAMEWORK**



# B Build phase — turnkey scope

The build phase is delivered turnkey: Trilogy builds out the site and IT, and stands up the business services, management and staffing the centre needs.

## TURNKEY BUILD

### Site build-out — 11

- Construction
- Electrical
- Fire & HVAC
- Floors
- Furniture & fittings
- Joinery
- Signage
- Windows
- Acoustics
- Facilities contingency
- Professional services — facilities

### IT build-out — 11

- Access control & AV
- Security — CCTV
- Hardware (networking)
- LAN & switches
- Network
- Computers
- Laptops
- Equipment
- Telephony
- Professional services — IT
- IT contingency

## TURNKEY STAFFING

### Business services — 4

- Business registration & legal
- Finance & accounting
- Project management
- Business management

### Operations management — 8

- Facilities management
- Facilities usage costs
- Facilities equipment costs
- Facilities operational costs
- Facilities personnel
- Security & cleaning
- Connectivity
- Rental & utilities

### Executive staffing — 6

- Senior in-country team
- Country executive role
- Managing director
- Transition manager
- HR director
- IT director

### Operations staffing — 8

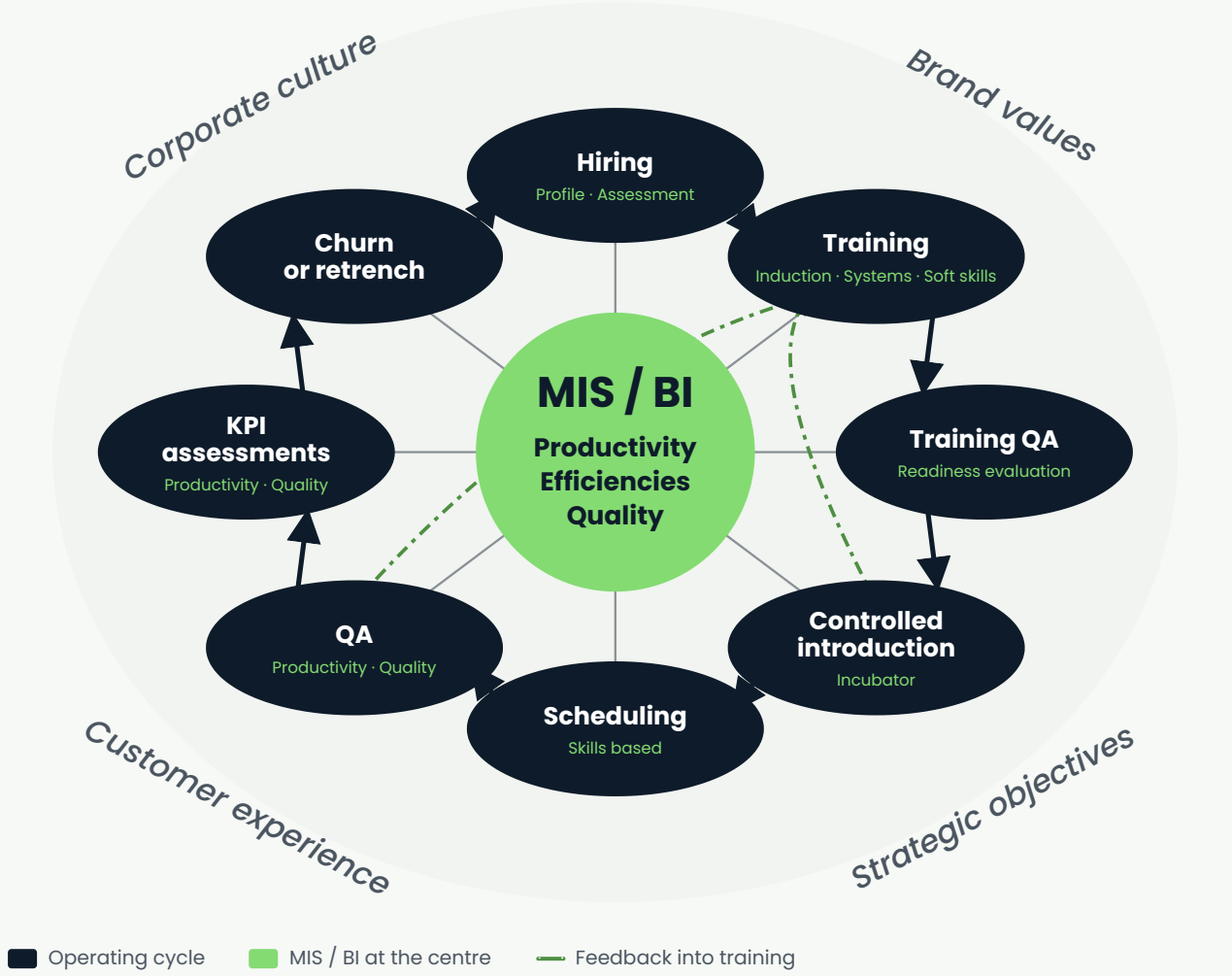
- Senior operations manager
- Operations manager
- Team leaders
- Quality auditors
- HR admins
- IT support
- MIS
- Agents

PHASE THREE

# Operate phase

The local partner of choice then implements the full operational strategy, and provides the following operational model for a defined period of time in order to stabilise the operations.

**INTEGRATED MANAGEMENT SYSTEM: PROCESS AND PRACTICES**




**Governed through an MSA**

All operational activities during the Operate phase are governed and managed through a **Master Services Agreement (MSA)**.

PHASE FOUR

# T Transfer phase

This option gives the company the strategic control and freedom of owning the operation and people over the long term. The transfer option is flexible, and is negotiated and decided before or during the implementation of the project.




*A well-managed project, with effective change management*

The partner provides all training and transfers all the people who hold the embedded knowledge to the company. Any intellectual property associated with the programme is transferred at the same time.

### On-going support option

Once the transfer phase has been completed, Trilogy can still assist with support for:

- **Continuous improvement**
- **Active benchmarking**
- **Business continuity & disaster recovery**
- **Capacity overflow**

## 06 Business benefits: how does DBOT mitigate risk?

1. It is a risk-averse localisation model
2. Requires limited — or an option for no — CAPEX
3. Provides speed to offshore markets
4. Provides speed of implementation
5. Provides speed to the cost savings anticipated
6. Provides instant access to local business administration resources and infrastructure
7. Provides instant access to local business practices, legal and financial resources
8. Mitigates risks associated with all localisation issues, such as:
   - Labour legislation & Basic Conditions of Employment
   - Trade unions
   - Legalities around people performance management

# 07 Commercial model — transparent costing, fixed management fee

Trilogy delivers DBOT on a **transparent costing model** with a **fixed management fee**. Costs are presented openly by phase, and the model offers an option to mitigate the CAPEX requirement — requiring limited, or an option for no, CAPEX.

### Transparent costing

Costed by DBOT phase

**Design** | **Build** | **Operate** | **Transfer**

Transfer at **24 or 36 months**

\+

### Fixed management fee

Trilogy's management fee

**Fixed**

## THE ASSUMPTIVE MODEL YOUR COSTING IS BUILT ON

### Commercial assumptions

- Design
- Build
- Operate
- Transfer

### Operational assumptions

- Location
- No. of seats
- No. of bodies
- No. of corporate functions (HR, IT, etc.)
- Sizing
- Head-to-seat ratio
- Firewalls
- PABX

## RESOURCE PLAN

### Operations

- Agents
- Team leaders
- Managers
- MIS
- QA
- Trainers
- Other roles

### Back office

- IT
- HR

## COST OF CAPITAL AREAS COVERED

- Infrastructure
- IT
- Telephony & networking
- Connectivity
- Facilities rentals

**Supporting plans**

- Build plan — Design & Build
- Resource plan
- Training plan

**DISCLAIMER**

All costings are **assumptive only** and **will change**. They are based on the **current exchange rate** and **historic costing**.

## 08 OPEX vs CAPEX — the choice is yours

A number of our customers — especially for our **Global Capability Centres (GCCs)** — choose to use Trilogy's **OPEX model** instead of meeting the CAPEX requirements needed for a green-field build.

### CAPEX

**Green-field build**

The customer meets the **CAPEX requirements** needed for a green-field build of its site, equipment and facilities.

vs

### OPEX

**Trilogy rent-to-own**

Trilogy provides a **full bill of materials and costs**, then provides this on a **36-month payment plan** — so the customer **"rents to own"** its site, equipment and facilities.

**CHOSEN BY A NUMBER OF OUR GCC CUSTOMERS**

**HOW THE OPEX OPTION WORKS**

1

**Full bill of materials & costs**

Trilogy provides the client with a full bill of materials and costs

→

2

**36-month payment plan**

The costs are provided on a 36-month payment plan

→

3

**Rent to own**

The client "rents to own" its site, equipment and facilities

OWNERSHIP PATH ON THE OPEX MODEL

**Month 1** — **36-month payment plan** — **Month 36** ✓

Site, equipment and facilities paid for over the payment plan

**Owned by the client**

**A note on price.** The OPEX option comes at a premium. In return, it gives customers the opportunity to choose between CAPEX and OPEX costings.

# 09 Commercial & pricing notes and assumptions

## Commercial

- Non-exclusive contract relationship
- Payment terms no longer than 30 days — interest at prime plus 1% applies to late payments
- Contract liability limited to a maximum of R10 million
- No ISO, COPC or other standard accreditation included in pricing
- Contract period: 36 months
- Termination for convenience carries a reasonable early termination fee (at least to account for unrecovered setup fees and capital investment)

## Operation pricing assumptions

- A reasonable guarantee against forecast call minutes will be given, failing which Trilogy may bill for available minutes
- Loss of call minutes as a result of failure of client infrastructure will be paid for against forecast minutes
- There will be no cap on allowable call length where extended handling time is caused by system and product changes or issues caused by the client
- Costing assumes that all voice and data will be delivered by the client to and from Trilogy at the client's cost
- Trilogy will use its standard vendor relationships and brands for technology provided by Trilogy
- Agent workstations do not include MS Office Suite

## Operational pricing exclusions

- VAT
- Telephone call and line rental costs (for the client's account)
- Data line rental costs (for the client's account)
- All telephony technology (to be provided by the client)
- Contact management and/or campaign management software
- Network monitoring software
- Servers for client application software
- Cost of Microsoft Office for agents
- Knowledge management software
- Cost of any requirements currently not disclosed

## Setup recovery (built into per-minute cost)

- **Assumption:** 30 days of classroom training for setup
- **Exclusion:** installation cost of voice and data lines (for the client's account)
- **Exclusion:** cost of systems integration to the client's systems, servers and applications (for the client's account)
- **Exclusion:** cost of any setup requirements currently not disclosed

KEY COMMERCIAL TERMS AT A GLANCE

| | | | | |
|---|---|---|---|---|
| **36** months<br>Contract period | **30** days<br>Maximum payment terms | **R10m**<br>Maximum contract liability | **30** days<br>Classroom training assumed for setup | **Non-exclusive**<br>Contract relationship |

### Price escalations

- Trilogy is entitled to increase the service charges in line with Trilogy's cost increases and by mutual agreement, effective on each anniversary of the contract. Should the parties not mutually agree the increase percentage, the average increase in the CPI index for the previous 12 months applies.

### Ramp up

- Setup costs are not paid upfront, and Trilogy has assumed reasonable ramp plans as presented by Trilogy (subject to final project plans)
- Where Trilogy is given adequate notice of a requirement for further ramp, taking into account project lead times (facility, recruitment, training, etc.), the call minute rates as defined apply
- Where exceptional ramp rates are requested, these are subject to a separate commercial agreement

### Ramp down

- Trilogy will not be expected to operate outside the labour law or a fair and reasonable approach to staff
- Trilogy will always attempt to mitigate minor ramp-down through attrition and redeployment opportunities on other client projects, should those opportunities exist
- Where Trilogy is expected to execute a significant ramp-down of more than 10% of existing capacity and/or at short notice, the parties negotiate the ramp-down costs based on the specific requirements and circumstances at the time. The ramp-down cost shall at least include a project management cost, the cost of unrecovered setup fees and capital investment, cancellation cost of telephone and data line contracts, and the cost of notice and severance pay to staff

**>10%** Ramp-down beyond 10% of existing capacity, or at short notice, triggers a negotiated ramp-down cost.

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10 · About Trilogy

# A South Africa-based, AI-enabled business process outsourcing company.

Trilogy designs, builds, operates and transfers Global Capability Centres in South Africa, for any type of operation — on a transparent costing model with a fixed management fee.

trilogybpo.com · Kobus van der Westhuizen, Chief Executive Officer · kobusvdw@trilogybpo.com

Confidential. All costings and commercial assumptions are assumptive only and will change; they are based on the current exchange rate and historic costing.